

**SUBSTITUTE FOR  
HOUSE BILL NO. 6073**

A bill to prohibit consumer reporting agencies from including certain information related to medical debt in consumer reports; to prohibit the use of medical debt under certain circumstances; to establish standards for the collection of medical debt; to regulate certain reporting of medical debt; and to provide remedies.

**THE PEOPLE OF THE STATE OF MICHIGAN ENACT:**

1       Sec. 1. This act may be cited as the "medical debt act".

2       Sec. 3. As used in this act:

3       (a) "Collection agency" means that term as defined in section  
4 901 of the occupational code, 1980 PA 299, MCL 339.901.

5       (b) "Consumer" means a resident of this state.

6       (c) "Consumer report" means a written, oral, or other  
7 communication or any information by a consumer reporting agency



1 that relates to a consumer's creditworthiness, credit standing,  
2 credit capacity, debts, character, general reputation, personal  
3 characteristics, or mode of living, that is used or expected to be  
4 used or collected, in whole or in part, as a factor to establish a  
5 consumer's eligibility for credit or insurance for personal,  
6 family, or household purposes, an employment purpose, or any other  
7 purpose authorized under the fair credit reporting act, 15 USC 1681  
8 to 1681x. Consumer report does not include any of the following:

9 (i) A report that contains information that relates only to a  
10 transaction between the consumer and the person making the report.

11 (ii) An authorization or approval of a specific extension of  
12 credit directly or indirectly by the issuer of a credit card or  
13 similar device.

14 (iii) A report in which a person that has been requested by a  
15 third party to make a specific extension of credit directly or  
16 indirectly to a consumer conveys a decision with respect to the  
17 request, if the third party advises the consumer of the name and  
18 address of the person that the request was made to and the person  
19 makes any disclosure required under the fair credit reporting act,  
20 15 USC 1681 to 1681x, to the consumer.

21 (d) "Consumer reporting agency" means a person that, for  
22 monetary fees, for dues, or on a cooperative nonprofit basis,  
23 regularly engages, in whole or in part, in the practice of  
24 assembling or evaluating consumer credit information or other  
25 information on consumers for the purpose of furnishing consumer  
26 reports to third parties. Consumer reporting agency does not  
27 include a business entity that provides only check verification or  
28 check guarantee services.

29 (e) "Creditworthiness" means an entry in a consumer's credit



1 file that impacts the ability of a consumer to obtain and retain  
2 credit, employment, business or professional licenses, investment  
3 opportunities, or insurance, including, but not limited to, entries  
4 related to payment information, defaults, judgments, liens,  
5 bankruptcies, collections, records of arrest and indictments, and  
6 multiple credit inquiries.

7 (f) "Employment purpose" means the purpose of evaluating a  
8 consumer for employment, promotion, reassignment, or retention as  
9 an employee.

10 (g) "File" means all of the information on the consumer that  
11 is recorded and retained by a consumer reporting agency, regardless  
12 of how the information is stored.

13 (h) "Health care good" includes, but is not limited to, a  
14 medical product, a medical device, any durable medical equipment,  
15 or a prescription drug.

16 (i) "Health care service" means any of the following:

17 (i) A service included in or incidental to the furnishing of  
18 any medical, behavioral, mental health, substance use disorder,  
19 nursing home, dental, or optometric care.

20 (ii) A service included in or incidental to hospitalization.

21 (iii) A service furnished to an individual for the purpose of  
22 preventing, alleviating, curing, or healing human physical illness  
23 or injury, or behavioral, mental health, or substance use disorder.

24 (j) "Medical creditor" means a person that provides a health  
25 care service or health care good and to whom the consumer owes  
26 money for a health care service or health care good, or a person  
27 that provided a health care service or health care good and to whom  
28 the consumer previously owed money if the medical debt has been  
29 purchased by 1 or more debt buyers. As used in this subdivision,



1 "debt buyer" means a person that purchases medical debt and brings  
2 an action to collect the medical debt.

3 (k) "Medical debt" means a debt owed by a consumer to a person  
4 whose primary business is providing a health care service or health  
5 care good, or to the person's agent or assignee, for the provision  
6 of a health care service or health care good. Medical debt  
7 includes, but is not limited to, medical bills that are not past  
8 due or that have been paid.

9 (l) "Medical debt collector" means a person that regularly  
10 collects or attempts to collect, directly or indirectly, medical  
11 debt.

12 Sec. 5. (1) Except as otherwise provided in subsection (2), a  
13 person that uses a consumer report in connection with a credit  
14 transaction shall not use medical debt listed on the consumer  
15 report as a negative factor when making a credit decision.

16 (2) Subsection (1) does not apply to a consumer report that  
17 will be used in connection with a credit transaction involving, or  
18 that may reasonably be expected to involve, a principal amount that  
19 exceeds the national conforming loan limit value for a 1-unit  
20 property, as determined annually by the Federal Housing Finance  
21 Authority.

22 Sec. 7. A medical creditor or a medical debt collector shall  
23 not communicate with or report any information to a consumer  
24 reporting agency regarding a medical debt.

25 Sec. 9. A collection agency, when attempting to collect debt  
26 that the collection agency knows is medical debt, or when  
27 attempting to obtain information about a consumer related to the  
28 collection of medical debt, shall not represent that the medical  
29 debt information will be included in a consumer report, unless the



1 consumer report will be used in connection with a credit  
2 transaction that involves, or that may reasonably be expected to  
3 involve, a principal amount that exceeds the national conforming  
4 loan limit value for a 1-unit property, as determined annually by  
5 the Federal Housing Finance Authority.

6 Sec. 11. A collection agency shall include the following  
7 statement in the collection agency's initial written communication  
8 to a consumer: "Michigan law prohibits consumer reporting agencies  
9 from reporting medical debt information, unless the consumer report  
10 will be used in connection with a credit transaction that involves,  
11 or that may reasonably be expected to involve, a principal amount  
12 that exceeds the national conforming loan limit value for a 1-unit  
13 property, as determined annually by the Federal Housing Finance  
14 Authority.".

15 Sec. 12. (1) If a consumer reporting agency includes medical  
16 debt in a consumer report, the consumer reporting agency shall  
17 include in the consumer report only the amount of medical debt that  
18 is owed by the consumer after any discount, rebate, and payment  
19 made by the consumer or a third party on behalf of the consumer.

20 (2) This act does not prohibit a consumer reporting agency  
21 from providing a disclaimer in a consumer report that the consumer  
22 report does not contain information on medical debt.

23 Sec. 13. (1) An individual who alleges a violation of this act  
24 may bring a civil action against the person that committed the  
25 alleged violation to recover 1 or more of the following:

26 (a) Actual damages.

27 (b) Injunctive relief.

28 (2) For an action under this section in which an individual  
29 prevails, the individual may recover the costs of the action,



1 including reasonable attorney fees.